

possessed a margin of safety. Graham did not expect investors to accurately determine the company's future income. Instead, he figured that if the margin between earnings and fixed charges was large enough, investors would be protected from an unexpected decline in the company's income.

The real test was Graham's ability to adapt the concept for common stocks. He reasoned that a margin of safety existed for a common stock if its price was below its intrinsic value. And the obvious next question is: How does one determine intrinsic value? Again Graham starts his answer with a succinct definition: intrinsic value is "that value which is determined by the facts." These facts include a company's assets, its earnings and dividends, and any future definite prospects.

Of those, Graham believed the single most important factor is future earnings power. That led him to a simple formula: A company's intrinsic value can be determined by estimating the future earnings of the company and multiplying those earnings by an appropriate capitalization factor. This capitalization factor, or multiplier, is influenced by the company's stability of earnings, assets, dividend policy, and financial health.

He added a strong caution: The success of this approach is limited by our ability to calculate a company's economic future, a calculation that is unavoidably imprecise. Future factors such as sales volume, pricing, and expenses are difficult to forecast, which makes applying a multiplier that more complex.

In spite of that, Graham believed that the margin of safety could work successfully in three areas: (1) in stable securities such as bonds and preferred stocks; (2) in comparative analysis; and (3) in selecting stocks, *provided* the spread between price and intrinsic value is large enough. Graham asked us to accept that intrinsic value is an elusive concept. It is distinct from the market's quotation price. Originally, intrinsic value was thought to be the same as a company's book value, or the sum of its real assets minus its obligations. This notion led to the early belief that intrinsic value was definite. However, analysts came to know that the value of a company was not only its net real assets but also the value of earnings that these assets produce. Graham proposed that it was not essential to determine a company's exact intrinsic value; even an approximate value,